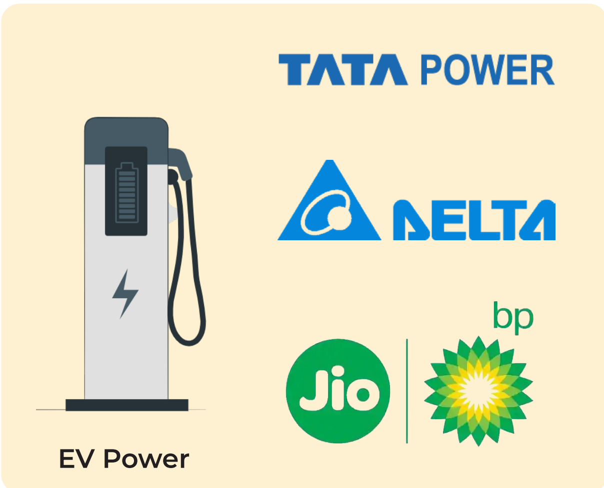
Quality of Earnings

The second component to understand earnings is the Quality of Earnings. Although Quality of Earnings is more subjective to understand and interpret, it is a very crucial element.

It essentially means that all earnings are not the same. They are determined by the business and the underlying strengths of the industry. Two companies earning 50 cr. each in PAT might have very different quality of earnings despite size being the same due to industry and business conditions.

Let's say there are two companies.

One operates in an industry that is being promoted by the government, is growing 20% y-o-y and has no substitute and low competition. Versus, another company that has been flat for the last 3 years and has high competition. Now, both companies may produce 50 cr. in profits, the quality of the first company's profits is much higher as compared to the second.



EV power is subsidised by the government.

Petrol power is in abundance and decreasing with time.